Data on income tax payers shows that this is a very fair objective. Only 40.7 million (4.07 crore) Indians (representing approximately three per cent of the population) filed income tax returns in Assessment Year (AY) 2015–16. However, only 20.7 million (2.07 crore) or half of those who filed returns, actually paid income tax. The rest filed nil returns.[30] This effectively means that only approximately 1.5 per cent of the Indian population pays any income tax.

Of these, there were only 57,399 people who declared incomes greater than ₹1 crore. Given that 36,207 luxury cars, costing approximately ₹50 lakh each, were sold in 2015 alone (and a total of 1,40,396 luxury cars in the past four years),[31] this certainly seems to indicate a lot of people are not declaring their true incomes.

Of course, we should consider that agricultural income in India is exempt from tax and that approximately 800 million Indians depend on agriculture for their income. In addition, as per the 2011 Census, 41 per cent or approximately 525 million Indians are below the age of 20, and therefore not earning any income or paying any taxes.

Notwithstanding the above caveats, the tax base in India is still too small. In a thoughtful analysis, author and economist Vivek Kaul[32] points out further revealing data:

- 18 million tax payers paid an average income tax of ₹24,000.
- Only two million tax payers paid an income tax greater than ₹1.5 lakh.
- 1,88,000 people accounted for 76.3 per cent of all income tax paid.
- Only 0.16 per cent of India pays 76.35 per cent of the entire income tax collected.

Clearly, there is a case for more people to be brought into the tax net and to declare and pay taxes more honestly.

One of the main reasons attributed to the low tax compliance in India has been high tax rates.[33] Though tax rates in India have been